COLLECTION RATES

Given the large number of exemptions to rate of customs, the increase in value of imports does not necessarily imply similar magnitude in customs revenue. Collection rates are an indicator of overall incidence of customs tariffs including countervailing and special additional duties of imports. These are computed as the ratio of revenue collected from these duties to the aggregate value of imports in a year (or period) and thus represent trade-weighted tariffs. The trends in the rates for important commodity groups as well as for all commodities taken together over the years are shown in Table 3.5. A major reason for the fall in rates has been the lower levels of duties on many items including on petroleum, oil, and lubricants (POL), which has significant import value and of course the impact of the various exemptions. At overall level, the effective rate of taxes at around 6 per cent in 2011-12 as against the level of simple average tariff rates of basic customs duties and the CVD indicates the impact of exemptions.[21]

TAX EXPENDITURE

As per the current *Economic Survey 2012-13*, there is significant divergence in India between the official rates of taxes and the actual or *effective rate of taxation* (which is a simple 'ratio of tax revenue collected to the tax base'). This arises on account of the *exemptions* to the tax rate. As indicated earlier in the section on *collection rates*, the magnitude of **revenue foregone** *(*i.e. *tax expenditure)* is indeed high.

In case of the ***direct taxes***, the situation prevails as given below:

- Tax foregone on account of exemptions under *corporate income tax* for 2011-12 was estimated at Rs. 51,292 crore. In this case, ***deduction*** on account of accelerated depreciation, deduction for export profits of export-oriented units located in special economic zones (SEZs) and profits of businesses in the power and telecom sectors were some of the major incentives. Though, the absolute amount of deductions has decreased as a result of phasing out of profit-linked deductions.